Procedure for Calculating Settlement Risk (OSFI CAR Guidelines)

1. Overview

Settlement Risk, as defined under OSFI's Capital Adequacy Requirements (CAR), is the risk that a counterparty will fail to deliver the terms of a contract at settlement. The risk arises when payments or deliveries are not fully exchanged simultaneously.

2. Regulatory Basis

2.1 OSFI CAR Chapter 7 – Counterparty Credit Risk

OSFI CAR mandates banks to measure exposure at the time of settlement for transactions such as FX spot, forwards, securities trades, and commodities. The amount at risk equals the full value owed by the institution if the counterparty fails to deliver.

2.2 Settlement Leg vs. Replacement Cost

Settlement Risk differs from replacement cost exposure as it is tied to the final exchange of value on settlement date rather than ongoing market exposure calculations.

3. Step-by-Step Procedure

3.1 Identify Trades Subject to Settlement Risk

- FX spot and forwards
- Securities purchases/sales
- Commodity contracts
- Non-derivative transactions requiring final exchange

3.2 Determine Settlement Date Exposure

Exposure = Full payment or delivery amount owed by the institution to the counterparty if the counterparty fails to complete its leg at settlement.

3.3 Calculate Exposure Amount

For each transaction:

1. Determine notional or cash amount due.
2. Convert to reporting currency using OSFI-approved FX rates.
3. Apply netting rules only if a legally enforceable netting agreement exists.

3.4 Apply OSFI Capital Requirement

Settlement exposures are risk-weighted under the standardized approach rules in OSFI CAR. Capital Requirement = Exposure × Risk Weight.

Risk weight depends on counterparty type (sovereign, bank, corporate).

4. Controls and Governance

4.1 Daily Monitoring

All settlement-risk-eligible positions must be monitored daily with exception reports sent to risk management.

4.2 Escalation Procedures

Material delayed settlements or fails must be escalated according to enterprise-wide counterparty credit risk policies.

5. Documentation

5.1 Record Keeping

Maintain records supporting exposure calculations, FX rates applied, and risk weight decisions.

5.2 Audit and Review

Independent review is required annually to validate methodology, system implementation, and compliance with OSFI CAR requirements.